



MEGA CAPITAL FUNDING, INC.

MVP (FIXED & ARM Program)

Income Doc Type - Full Doc/Bank Statements/1099⁵

		Purchase / Rate & Term LTV/CLTV		Cash-Out ^{1,2,3,5} LTV/CLTV	
FICO	Loan Amount	Primary Home	Second Home	Primary Home	Second Home
740	\$1M	90% ¹	85% ²	80%	75%
	\$1.5M	85% ²	80% ³	75%	75%
	\$2M	85% ²	80% ³	75%	70%
	\$2.5M ⁴	80% ³	75% ³	70%	65%
	\$3M ⁴	75% ³	70%	65%	60%
720	\$1M	85% ²	85% ²	75%	75%
	\$1.5M	85% ²	80% ²	75%	75%
	\$2M	80% ³	80% ³	70%	70%
	\$2.5M ⁴	80% ³	75% ³	70%	65%
	\$3M ⁴	75% ³	70%	65%	60%
700	\$1M	85% ²	85% ²	75%	75%
	\$1.5M	85% ²	80% ³	75%	70%
	\$2M	80% ³	80% ³	70%	70%
	\$2.5M ⁴	75% ³	75% ³	65%	65%
	\$3M ⁴	70%	70%	60%	60%
680 ¹	\$1M	80% ³	80% ³	70%	70%
	\$1.5M	80% ³	80% ³	70%	70%
	\$2M	75% ³	75% ³	65%	65%
	\$2.5M ⁴	70%	70%	N/A	N/A
660 ¹	\$1M	80% ³	80% ³	70%	70%
	\$1.5M	75% ³	75% ³	70%	70%
	\$2M	75% ³	70%	60%	60%
	\$2.5M ⁴	70%	65%	N/A	N/A

#1 - I/O = Max 85% LTV/CLTV, Min 700 FICO, No FTHB

Non-permanent resident – Max 70% LTV/CLTV, No Cash-out

2-4 Units/Warrantable condo – Max 85% LTV/CLTV

Non-warrantable condo – Max 80% LTV/CLTV

MVPX - Max. LTV/CLTV is 85%

#2 - Non-permanent resident – Max 70% LTV/CLTV, No Cash-out

Non-warrantable condo – Max 80% LTV/CLTV

#3 - Non-permanent resident – Max 70% LTV/CLTV, No Cash-out

#4 - MVPX – Max. loan amount is \$2M.

#5 - Rural Properties – Primary (Max 75% LTV/CLTV) 2nd Home (Max 70% LTV/CLTV) No Cash Out. MAX 5 acres

Income Doc Type - P&L/WVOE ¹ /Asset Depletion ²					
		Purchase / Rate & Term LTV/CLTV		Cash-Out ^{2,3,4} LTV/CLTV	
FICO	Loan Amount	Primary ³ Home	Second ³ Home	Primary Home ³	Second Home ³
720	\$1M	80% ⁴	80% ⁴	75%	75%
	\$1.5M	80% ⁴	80% ⁴	75%	75%
	\$2M	80% ⁴	80% ⁴	70%	70%
	\$2.5M ⁵	80% ⁴	75% ⁴	70%	65%
	\$3M ⁵	75% ⁴	70%	65%	60%
700	\$1M	80% ⁴	80% ⁴	75%	75%
	\$1.5M	80% ⁴	80% ⁴	75%	70%
	\$2M	80% ⁴	80% ⁴	70%	70%
	\$2.5M ⁵	75% ⁴	75% ⁴	65%	65%
	\$3M ⁵	70%	70%	60%	60%
680 ^{1,2,6}	\$1M	80% ⁴	80% ⁴	70%	70%
	\$1.5M	75% ⁴	75% ⁴	70%	70%
	\$2M	75% ⁴	75% ⁴	65%	65%
	\$2.5M ⁵	70%	70%	N/A	N/A
660 ^{1,2,6}	\$1M	75% ⁴	75% ⁴	70%	70%
	\$1.5M	75% ⁴	75% ⁴	65%	65%
	\$2M	75% ⁴	70%	60%	60%
	\$2.5M ⁵	70%	65%	N/A	N/A

#1 - WVOE – For credit score below 700, the maximum allowable LTV is 5% lower than the LTV shown in the matrix.

#2 - Asset depletion - Min 700 FICO, No Cash-out, Primary Home only.

#3 - Rural Properties – Primary (Max 75% LTV/CLTV) 2nd Home (Max 70% LTV/CLTV), No Cash Out. MAX 5 acres

#4 - Non-permanent resident – Max 70% LTV/CLTV, No Cash-out

#5 - MVPX – Max. loan amount is \$2M.

#6 - I/O = 700 FICO, No FTHB

MVP GENERAL REQUIREMENTS	
Underwriting Method	- Manual Underwriting Only - All compliance requirements must be met with Federal & State regulations. - Any topics not addressed in this guideline, follow FNMA guideline.
Minimum FICO	660 (I/O - 700)
Loan amount	- Minimum - \$150,000 - Maximum - \$3,000,000

MEGA LOS Income Doc Type Options	• Other Bank Statement – P&L (CPA Prepared) Doc Type Appraised Value Sales Price Down Payment 1st Lien 2nd Financing? Rate Lock Period Full Document ▼ Full Document 12 Mo. Personal Bank Statements 24 Mo. Personal Bank Statements 12 Mo. Business Bank Statements 24 Mo. Business Bank Statements Other Bank Statements 1 Yr. Tax Returns WOE Asset Utilization Debt Service Coverage (DSCR) No Ratio • Full Document – 1 Year Full Doc (W-2) • 1099 – 12 Mo. Bank Statements + 1099 identifier marked YES Doc Type is 1099? ☒ Yes ☐ No • 1 Year Tax Returns • WWOE (FNMA Form 1005) • 12-24 Mo. Personal Bank Statements • 12-24 Mo. Business Bank Statements • Asset Depletion																																																																																							
Program Codes	<table border="1"> <thead> <tr> <th>Doc Type</th> <th>Code</th> <th>Term</th> <th>Amort type</th> <th>Prepay Term</th> </tr> </thead> <tbody> <tr><td rowspan="20">Full, Bank Statements, 1099, CPA P&L, WWOE & Asset Depletion</td> <td>MVP30</td> <td>30yr Fixed</td> <td>Full</td> <td>-</td> </tr> <tr><td>MVP5P30</td><td>30yr Fixed</td><td>Full</td><td>5yrs</td></tr> <tr><td>MVP4P30</td><td>30yr Fixed</td><td>Full</td><td>4yrs</td></tr> <tr><td>MVP3P30</td><td>30yr Fixed</td><td>Full</td><td>3yrs</td></tr> <tr><td>MVP2P30</td><td>30yr Fixed</td><td>Full</td><td>2yrs</td></tr> <tr><td>MVP1P30</td><td>30yr Fixed</td><td>Full</td><td>1yr</td></tr> <tr><td>MVP5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>-</td></tr> <tr><td>MVP5P5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>5yrs</td></tr> <tr><td>MVP4P5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>4yrs</td></tr> <tr><td>MVP3P5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>3yrs</td></tr> <tr><td>MVP2P5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>2yrs</td></tr> <tr><td>MVP1P5/6</td><td>5/6 30yr ARM</td><td>Full</td><td>1yr</td></tr> <tr><td>MVP7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>-</td></tr> <tr><td>MVP5P7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>5yrs</td></tr> <tr><td>MVP4P7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>4yrs</td></tr> <tr><td>MVP3P7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>3yrs</td></tr> <tr><td>MVP2P7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>2yrs</td></tr> <tr><td>MVP1P7/6</td><td>7/6 30yr ARM</td><td>Full</td><td>1yr</td></tr> <tr><td>MVP40io</td><td>40yr Fixed</td><td>Interest Only</td><td>-</td></tr> </tbody> </table>						Doc Type	Code	Term	Amort type	Prepay Term	Full, Bank Statements, 1099, CPA P&L, WWOE & Asset Depletion	MVP30	30yr Fixed	Full	-	MVP5P30	30yr Fixed	Full	5yrs	MVP4P30	30yr Fixed	Full	4yrs	MVP3P30	30yr Fixed	Full	3yrs	MVP2P30	30yr Fixed	Full	2yrs	MVP1P30	30yr Fixed	Full	1yr	MVP5/6	5/6 30yr ARM	Full	-	MVP5P5/6	5/6 30yr ARM	Full	5yrs	MVP4P5/6	5/6 30yr ARM	Full	4yrs	MVP3P5/6	5/6 30yr ARM	Full	3yrs	MVP2P5/6	5/6 30yr ARM	Full	2yrs	MVP1P5/6	5/6 30yr ARM	Full	1yr	MVP7/6	7/6 30yr ARM	Full	-	MVP5P7/6	7/6 30yr ARM	Full	5yrs	MVP4P7/6	7/6 30yr ARM	Full	4yrs	MVP3P7/6	7/6 30yr ARM	Full	3yrs	MVP2P7/6	7/6 30yr ARM	Full	2yrs	MVP1P7/6	7/6 30yr ARM	Full	1yr	MVP40io	40yr Fixed	Interest Only	-
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	Qualification	• 5/6 SOFR: (2/1/5 Cap Structure) & 7/6 SOFR: (5/1/5 Cap Structure) ◦ Qualify borrower(s) at the greater of the Fully Indexed Rate or Note Rate • 30 Year Fixed rate • For I/O qualifying rate / payment: ◦ For fixed I/O loans, qualifying payment is based on the fixed rate, the original balance and remaining amortizing term at the end of the I/O period (i.e., 240 months or 360 months)																																																																																						
Interest Only	Max. LTV: 85% Minimum credit score: 700 FTHB IS NOT ALLOWED.																																																																																							
Subject Property Reserves	• Loan amount Up to \$1M – 6 months, Up to \$2M – 9 months, Over \$2M – 12 months • Additional financed properties – Require 2 months incremental PITIA/ITIA per financed property																																																																																							

	- For Adjustable-Rate Mortgages (ARM), the reserves are based upon the initial PITIA, not the qualifying payment. - For Interest Only loan, the reserves are based upon the initial Interest Only payment (ITIA) - Cash-out net proceeds are eligible to satisfy reserve requirements. - Gift funds can't be used to satisfy reserve requirements for any transaction. - Non-occupant co-borrower - additional 6 months reserves.													
DTI	Maximum Total Debt-to-Income (DTI) ratio allowed: 50%													
Verbal Verification of Employment	A VVOE is required for all borrowers and must be completed within 10 calendar days of the closing/note date.													
HPML	- Escrows for taxes and insurance will be required for 5 years. - Residual Income- Required per household size: = \$2,500, Add \$150 per additional household member - Two appraisals may be required to be delivered for flip transactions as defined by the CFPB.													
Escrows Required	Property Tax escrows required if LTV >85%													
Approved States	All MCFI approved states, except Maryland (This restriction applies to the subject property only if it is located in Baltimore City, MD.), Mississippi, New Jersey (Bergen County and Essex County only), Pennsylvania (Investment property in Philadelphia County only), South Dakota													
Declining Market	Properties in declining markets as determined by the appraisal, other third-party valuation (i.e., Desk Review, etc.) will require a 5% reduction to the LTV/CLTV caps for all tiers within the loan matrices													
Age of the documents	Unless otherwise stated in this guide, all credit documents including credit report, income docs, and asset statements must be dated no more than ninety (90) days prior to the note date. The note date is utilized for document expiration for all funding types													
ARM Index	SOFR 30 Day Avg index													
ARM Term	<table><tr><th>PROGRAM CODE</th><th>TERMS</th><th>CAPS</th><th>INDEX</th><th>MARGIN</th></tr><tr><td>MVP5/6</td><td>5/6 ARM</td><td>2/1/5</td><td rowspan="2">SOFR</td><td rowspan="2">See Rate sheet</td></tr><tr><td>MVP7/6</td><td>7/6 ARM</td><td>5/1/5</td></tr></table>	PROGRAM CODE	TERMS	CAPS	INDEX	MARGIN	MVP5/6	5/6 ARM	2/1/5	SOFR	See Rate sheet	MVP7/6	7/6 ARM	5/1/5
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Derogatory Housing Events	- MCFI defines Housing Events as Foreclosures, Short Sale, Deed in Lieu, Default Modification, Notice of Default, or 120+ Days Delinquent - Bankruptcies are considered Housing Events, inclusive of Chapter 7, 11, and 13. Multiple bankruptcies are not permitted - Defaulted first and second mortgages on same property are considered one (1) event - Events include all occupancy types (Primary, Second Home Properties) - Seasoning lookback is from the date of discharge / dismissal or property resolution (completion date), as of the note date - Modification look back commences at inception (when loan was permanently modified) - At least 4 years seasoning is required. - See Credit Events for additional restrictions													
Max. Cash-Out Limits	- LTV>60% - \$750K - LTV<=60% - Unlimited													

BORROWER ELIGIBILITY

Eligible Borrowers	- US Citizens - Permanent resident alien.
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	▪ A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis. Permanent resident aliens are eligible for financing ▪ Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria: ○ I-151 – Permanent Resident Card (Green Card) that does not have an expiration date ○ I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired ○ I-551 – Conditional Permanent Resident Card (Green Card) issued for two (2) years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions ○ Un-expired Foreign Passport with an un-expired stamp reading as follows: “Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized.” • Non-permanent residency borrowers* ▪ The following Visa classifications are allowed as Non-Permanent Resident Aliens: E-1, E-2, E-3, EB-5, G-1 through G-5, H-1B, L-1, NATO, O-1, R-1, TN (NAFTA)R-1 ▪ Copies of the Borrower’s passport and unexpired visa must be obtained. Acceptable alternative documentation to verify visa classification is an I-797 form (Notice of Action) with valid extension dates and an I-94 form (Arrival / Departure Record). Borrowers unable to provide evidence of lawful residency status in the U.S. are not eligible for financing ▪ A valid employment authorization document (EAD) must be obtained if the visa is not sponsored by the Borrower’s current employer. If the visa expires within six (6) months of the note date, it is acceptable to obtain a letter from the employer documenting the Borrower’s continued employment and continued visa renewal sponsorship (employer on the loan application must be the same as on the unexpired visa) ▪ If a non-U.S. citizen is borrowing with a U.S. citizen, it does not eliminate visa or other residency requirements. Individuals in possession of spouse or family member visas are to qualify as co-Borrowers only. A valid EAD must be provided to use income for qualifications. ▪ Borrowers who are residents of countries which participate in the Department of Homeland Security’s Visa Waiver Program (VWP) will not be required to provide a valid visa. Participating countries can be verified through the U.S. Department of State website: https://www.dhs.gov/visa-waiver-program-requirements ▪ DACA applicant is allowed. Follow the FNMA guideline. *Non-Permanent Resident capped at 70% LTV/CLTV. Cashout not permitted.
First Time Home Buyer	• First Time Home Buyers (“FTHB”) are individuals that have not owned a home or had a residential mortgage in the last three (3) years. Note: MCFI does not classify a borrower as a First-Time Homebuyer (FTHB) if they are vested on any property title within the past (3) years. Borrowers vested on title to their primary residence but not on the note will still require a 12-month housing history • The following are required for FTHB: ○ Maximum payment shock of 250% ○ Rent Free FTHB are unable to meet Payment Shock requirements, they are permitted with no credit exceptions. Housing History requirements pertaining to rent free borrowers identified in Housing History Section must be followed. ○ I/O is not allowed. ○ Gift funds are not allowed for FTHBs who live rent-free when the income type is P&L, WVOE or Asset Depletion.

	Only Full Doc, Bank Statement and 1099 are only doc types allowed for FTHBs who live rent free.
Non-Occupant Co-Borrower	- Non-Occupant Co-Borrowers are credit applicants that do not occupy the subject property. The following requirements must be met: - Must be an immediate relative, proof of relationship is required - Must sign the mortgage / deed of trust - Must not have an interest in the property sales transaction - Maximum LTV / CLTV of 80% - Single unit primary residence only - Maximum DTI of 43% - Additional six (6) months reserves required - Occupying Borrower must have documented income equal to 75% of PITIA - Purchase and Rate / Term Refinance only
Title Vesting	Individual, Joint Tenants, Tenants in Common, Inter-vivos revocable trust
Ineligible Borrowers	- Irrevocable or Blind Trusts - Layered Entities - Business Entities - Land Trusts - Non-profit organizations - Borrowers with diplomatic immunity - Asylum applicants - ITIN borrower - Foreign National - Self-employed Borrower deriving their income from any Cannabis related business - Borrowers(s) with residence of any country not permitted to conduct business with U.S. Companies as determined by U.S. government authority

OCCUPANCY ELIGIBILITY	
Primary Residence	- A primary residence is a property that the Borrower(s) currently resides in (refinance) or intends to occupy as his or her principal residence. 2–4 Unit properties are eligible as primary residences provided, they are common for the area and exhibit no unique characteristics that can influence marketability - Characteristics that may indicate that a property is used as a Borrower's primary residence include: - Occupancy by the Borrower for the major portion of the year - Location is relatively convenient to the Borrower's principal place of employment - Property is the address of record for such activities as federal income tax reporting, voter registration, occupational licensing, and similar matters - Borrower may not own an additional single-family residence of equal or greater value than subject property - Property possesses physical characteristics that accommodate the Borrower's family
Second Home	- Must be located a reasonable distance away from the Borrower's principal residence. - Must be occupied by the Borrower(s) for some portion of the year. - Is restricted to a one-unit dwelling. - Must be suitable for year-round occupancy. - The Borrower(s) must have exclusive control over the property - Must not be subject to any timeshare arrangements, rental pools or other agreements which require the Borrower to rent the subject property or otherwise give control of the subject property to a management firm. - Gift funds not permitted on Second Homes >80% LTV / CLTV

Non-Owner Occupied	▪ Not allowed.
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TRANSACTION ELIGIBILITY	
Purchase	▪ A purchase transaction is one which allows a buyer to acquire a property from a seller where the proceeds of the transaction are used to finance the acquisition of the Subject property. ▪ The lesser of the purchase price or appraised value of the Subject property is used to calculate the LTV/CLTV ▪ Sellers must have owned the property for more than 12 months, otherwise the transaction is subject to review as a Flip Transaction. Scenarios that meet the definition of a Flip Transaction as defined in Flip Transaction Section below must meet the requirements provided in that section. Bank-owned REO and Corporate Relocations are eligible and not considered a flip transaction. Maximum Interested Party Contributions permitted up to 6%
Rate & Term	▪ A Rate / Term Refinance transaction is when the new loan amount is limited to the payoff of a present mortgage for the purpose of changing the interest rate and/or term of mortgage only with no additional cash or advancing of new money on the loan unless it is below the limited Cash-Out amount. ▪ The seasoned non-first lien mortgage is (1) a purchase money mortgage or (2) a closed end mortgage or (3) HELOC mortgage not having any draws greater than \$5,000 in the past twelve (12) months ○ Withdrawal activity must be documented with a transaction history from the HELOC ▪ Limited cash to the Borrower must not exceed the lesser of \$5,000 or 2% of the principal amount of the new mortgage to be considered a Rate / Term refinance ▪ The LTV / CLTV will be based off of the appraised value. Loan must be used to pay off existing lien on the Subject mortgage and cash to the Borrower must not exceed the lesser of \$5,000 or 2% of the principal amount of the new mortgage ▪ Properties that have been listed for sale by the Borrower within the past six (6) months from the application date are ineligible. No exception. ▪ The rate / term refinance of a construction loan is eligible with the following conditions: ○ If the lot was acquired twelve (12) or more months before applying for the subject loan, the LTV / CLTV is based on the current appraised value of the property ○ If the lot was acquired less than twelve (12) months before applying for the construction financing, the LTV / CLTV is based on the lesser of (i) the current appraised value of the property and (ii) the total acquisition costs ▪ Refinance of a previous Cash-Out seasoned < 1 year will be considered Cash-Out refinance ▪ Refinancing of a Land Contract is considered a purchase and LTV / CLTV should be calculated using purchase price
Cash-Out	▪ A Cash-Out Refinance transaction allows the Borrower to pay off the existing mortgage by obtaining new financing secured by the same property or allows the property owner to obtain a mortgage on a property that is currently owned free and clear. The Borrower can receive funds at closing if they do not exceed the program requirements ▪ To be eligible for a Cash-Out Refinance the Borrower must have owned the property for a minimum of six (6) months prior to the note date. ▪ Properties listed for sale by the Borrower within the last twelve (12) months from the application date are not eligible. No exception.

	▪ If the property is owned less than twelve (12) months but greater than six (6) months at the time of note date, the maximum LTV / CLTV for the transaction will be based on the lesser of the original purchase price plus fully documented improvements such as invoices and/or confirmed by the appraiser, or current appraised value. The prior settlement statement will be required for proof of purchase price ▪ Refinance of a previous Cash-Out seasoned < 1 year will be considered Cash-Out refinance ▪ Refinancing of a Land Contract is considered a purchase and LTV / CLTV should be calculated using purchase price ▪ A Texas 50(a)(6) loan is a non-purchase money mortgage (potentially including a refinance of a prior home equity loan) in which the borrower takes equity out of a homestead property in Texas. In order to be valid, these home equity loans must comply with all requirements listed in Section Article XVI, Section 50(a)(6) of the Texas Constitution. Texas attorney review is required. ▪ Please refer to MCFI Program Matrix for specific details regarding maximum LTV and Cash-Out amounts. Please note: Cash-Out includes funds received AT closing as cash back and any applicable debts paid off outside the original purchase money transaction
Property Buyouts and Inherited Properties	Refinances of inherited properties and properties legally awarded to the borrower are allowed. This includes divorce, separation and dissolution of a domestic partnership. Seasoning requirements do not apply, and the following guides must be met: • Written agreement signed by all parties stating the terms of the buyout and property transfer must be obtained • Equity owners must be paid through subject loan's settlement • Subject property has cleared probate and property is vested in the borrower's name • Current appraised value is used to determine loan-to-value
Continuity of Obligation	• Follow FNMA
Subordinate Financing	• New subordinate financing (institutional) allowed for purchase transactions only • Primary residences only • If a HELOC is present the LTV / CLTV must be calculated by dividing the sum of the original loan amount of the first mortgage, the line amount of the HELOC (whether or not there have been any draws), and the unpaid principal balance of all other subordinate financing by the lower of the property's sales price or appraised value • All subordinate loan obligations must be considered, verified, and considered when calculating the Borrower's DTI • If the subordinate financing is a HELOC secured by the subject property, monthly payments equal to the minimum payment required under the HELOC terms considering all draws made on or before closing of the subject transaction • For closed-end fixed rate, fully amortizing simultaneous loans, the qualifying payment is the monthly payment • Interest Only not permitted • Existing subordination is permitted on refinances
Flip Transactions	▪ When the subject property is being resold within three hundred sixty-five (365) days of its acquisition by the seller and the sales price has increased more than ten (10%), the transaction is considered a "flip". To determine the three hundred sixty-five (365) day period, the acquisition date (the day the seller became the legal owner of the property) and the purchase date (the day both parties executed the purchase agreement) should be used ▪ Flip transactions are subject to the following requirements:

	○ All transactions must be arm's length, with no identity of interest between the buyer and property seller or other parties participating in the sales transaction ○ No pattern of previous flipping activity may exist in the last twelve (12) months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan ○ The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing ○ No assignments of the contract to another buyer ○ If the property is being purchased for more than 5% above the appraised value, a signed letter of acknowledgement from the Borrower must be obtained ○ An additional appraisal product is required. See Third Party Appraisal Review Process ▪ Flip transactions must comply with the HPML appraisal rules in Regulation Z. The full Reg Z revisions can be found at: https://www.consumerfinance.gov/rules-policy/final-rules/appraisals-higher-priced-mortgage-loans/ ▪ A second appraisal is required, prior to closing, in the following circumstances: ○ Greater than ten (10%) increase in sales price if seller acquired the property in the past ninety (90) days ○ Greater than twenty (20%) increase in sales price if seller acquired the property in the past one hundred eighty (180) days ○ The Borrower may not pay for the 2nd appraisal
Delayed Financing	▪ Delayed purchase financing is available when a property was purchased by a Borrower using cash, within one hundred eighty days (180) from the date of purchase to the new mortgage note date ○ The original purchase transaction must be an arm's length transaction ○ The source of funds for the original purchase transaction must be documented (bank statements, personal loan documents, HELOC from another property as example) ○ The maximum LTV / CLTV for the transaction will be based on the lower of the current appraised value of the subject or the purchase price plus any of the fully documented improvements such as invoices and/or receipts for work performed and confirmed by the appraiser ○ The preliminary title information must confirm that there are no existing liens on the property ○ The loan is considered a Cash-Out transaction. Cash-Out loan, LTV and other limitations apply
Ineligible Transactions	▪ Assignment of Contracts ▪ Construction Loans ▪ Builder Bailout & Model leasebacks ▪ Conversion Loans ▪ Daily Simple Interest Loans ▪ Rent Credits ▪ Non-Arm's Length (defined by FNMA. Any employer of a seller, broker or originator that is a party to the subject loan must be completed as a full documentation.) ▪ Lease Option ▪ Tenants in Common, unless all parties vested match the actual borrowers of the loan

Fraud Prevention	▪ Employment Fraud ○ State or other 3rd party Business search must not show borrower as CEO, president, or partner of his/her employment. ○ Credit report must not show employer's name other than current employment. If another name appears, LOE from the borrower with start/termination dates are required. ○ Bank statement must not show employer's name other than current employment with direct deposit. If another name appears, LOE from borrower with start/termination dates are required. ▪ Occupancy Fraud: Underwriter must carefully review for correct occupancy and obtain LOE when it is questionable. ○ For primary residence, commute to work is more than 60 miles or more than 2 hours. ○ Purchasing primary residence that is smaller/older than current primary residence (owned) in the same neighborhood. ○ Purchasing a second home in the same neighborhood where primary residence is located.
Gift of Equity	Not allowed.

CREDIT ELIGIBILITY	
Credit Report Details	▪ A tri-merged in file credit report from all three repositories is required. ▪ A written explanation for all inquiries within ninety (90) days of application is required disclosing no new debt. ▪ Alternate confirmation that there is no new debt may include a new credit report, pre-close credit score soft-pull or gap report. ○ DTI should be recalculated based on any new debt ○ Any new credit scores must be reviewed for qualification
Housing History	• 0x30x12, 0x60x24 • Twelve (12) months housing history is required. Twelve (12) month mortgage/housing history includes all occupancy types – Primary, Second Home Properties. If primary housing is documented as free and clear, no exception is needed. This includes whether or not the borrower is on the Note or Vested on Title of their primary. • If the subject property has delinquent taxes > one year from note date, this will be considered on a case-by-case basis and will require an exception approval, subject to LLPA. • Any additional housing history included in the loan file that reflects delinquencies will be subject to review and must adhere to loan program matrix • All mortgages and rental payments should be current at time of closing. If the credit report or VOR / VOM reflects a past-due status, updated documentation is required to verify the account is current ○ Housing history evidenced by twelve (12) months proof of payment via cancelled checks, bank debits or institutional VOR ○ Private Party VORs / VOMs only will be considered on a case-by-case basis and will require an exception approval, subject to an LLPA. ○ If the borrower is living rent-free as a dependent with family and a 12-month housing history is not applicable, a rent-free letter is required. For first-time homebuyers, rent-free is permitted with no credit exceptions. Borrower(s) who own their primary residence free and clear aren't considered living rent free. P&L, WVOE and Asset Depletion doc types are not allowed. • Past due balloon will be considered a delinquency (1x30) and not a housing event, but only within one hundred eighty (180) days of maturity

Credit Scores	- Qualifying Credit Score - Borrower's middle score of 3 FICO scores, or the lower score of 2 FICO scores (when only 2 FICO scores are provided). When more than one borrower qualifies for the loan, the Qualifying Credit Score is the lower representative credit score of all borrowers. - Credit rescoring is not allowed except in the event of a disputed item or valid error. Documentation must be provided to support the reason that a credit rescoring was performed - All three credit bureaus must be unfrozen.
Tradelines	- Each Borrower's credit profile must include a minimum of two (2) trade lines within the last twenty-four (24) months that show a twelve (12) month history, or a combined credit profile between Borrower and co-Borrower with a minimum of three (3) tradelines - Tradeline activity is not required; can be opened or closed. Examples of unacceptable tradelines include loans in a deferment period, collection or charged-off accounts, accounts discharged through bankruptcy and authorized user accounts - Current housing not reporting on credit can be considered an open trade if supported by bank records (cancelled checks / debits) - Borrower(s) not using income to qualify are not required to meet the minimum tradeline requirements listed above - Authorized user accounts must be used to calculate DTI ratio but will not be included in the number of tradelines.
Credit Events	- Prior Bankruptcies (Chapter 7, 11, 13) are permitted and require a 4-year seasoning. Multiple bankruptcies are not permitted - Prior Foreclosure, Short Sale, Deed-in-Lieu, and Modification (due to default), Notice of Default, Lis Pendens, and 120+ days delinquency is permitted and require a 4-year seasoning. - Borrowers currently enrolled in credit counseling or debt management plans are not permitted - All Judgments or liens affecting title must be paid - Non-title charge-offs and collections within three (3) years and exceeding \$5000 (individually or aggregate) must be paid - Medical collections less than \$15,000 are not required to be paid - All past due accounts must be brought current prior to closing - Disputed accounts may require an LOE - IRS tax payment plans approved by the IRS are permitted if current and do not carry a lien on any property, otherwise the balance should be paid off. Any monthly payment obligation must be added into DTI. - All Borrowers must be current on mortgage or rent at loan application - All derogatory revolving and installment accounts > sixty (60) days within four (4) years of closing require a full explanation - Delinquent credit belonging to ex-spouse can be excluded if late payments occurred after the divorce / separation, and divorce decree / separation agreement indicates derogatory accounts belong solely to the ex-spouse - Security freeze – Credit reports may not contain a security freeze and should be resolved prior to an underwriting decision. Unfrozen reports after the date of the original credit report require a new tri-merged report - Defaulted timeshares – Timeshares including delinquencies are treated as installment loans and not a housing event

INCOME DOCUMENTATION

Income	All borrowers should have a two-(2) year income history from employment or other allowable sources. The expectation is that income year over year is stable or shows a trend with a gradual increase. This type of income should be averaged for the borrower(s) gross monthly income used to qualify. A reasonable expectation should be present that the borrower(s) source(s) of income will continue for the foreseeable future.
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	In cases where a borrower(s) income is declining or shows unusual or unexpected fluctuation, careful consideration must be given to the income being reviewed and the reason for the decline or fluctuation. Proper discretion must be exercised to determine the extent or probability of impairment of the borrower's income and earning ability moving forward. Conservatively, the lesser income should be used when a declining situation is present. A letter of explanation is required from the borrower(s) to support the circumstances. Borrowers that show continued declining income without a reasonable explanation or proof that the trend will not continue are not eligible to use that income for qualification. Combined Income Documentation Scenarios - Income documented through Alternative Documentation programs may be combined with other income sources that are documented as Full Documentation but not associated with self-employment, such as a spouse employed as a wage earner - When wage income is combined with Alternative Documentation, a tax return is not required as this would invalidate the bank statements. Form 4506-C is still required; however, Box 8 should be checked to obtain a transcript of the W-2 earnings only - Combined income documentation types are intended for separate borrowers on the same loan (spouses, for example). Cases of combined income types for the same borrower are generally not allowed.
Full Documentation	Wage Earner - Most recent paystub (most recent thirty (30) day period) including year-to-date earnings (YTD must cover minimum of thirty (30) days) - Two (2) years IRS 1040s or W2's and a Written Verification of Employment (if needed for the analysis of overtime, bonus, or commission) - IRS 1040s are recommended when using other sources of income to qualify i.e., interest dividends, capital gains, note receivable, trust income etc. 4506-C W2 transcripts or 4506-C transcripts (If 1040 transcripts are provided, W2 transcripts are not required) - In the case where taxes have been filed and the wage transcripts are not available from the IRS, the IRS response to the request must reflect "No Record Found" and be present in the loan file - Must document that taxes have been filed via evidence of e-filing, tax refund, or proof of payment - Evidence of any IRS filing extensions must also be present in the loan file - Verbal Verification of Employment (VVOE): - Must be completed within ten (10) calendar days of the closing date - VVOE should include name of contact at place of employment, phone number and title along with company name, address and Borrower's job description and title - Borrower who is no longer employed at the same employer listed on the initial 1003 will not be eligible Self-Employed Borrower - A Borrower is considered self-employed with 25% or more ownership interest in a business. The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S-corporation. - Two (2) year personal & business tax returns (including all schedules and K-1's) plus YTD P&L from any businesses being used for qualification where the Borrower has 25% or more ownership interest - Not permitted as qualifying income – interest, dividends, capital gains, etc. - If the P&L covers more than nine (9) months, three (3) month bank statements are required to validate continued positive cash flow of the Borrower's business. Additional bank statements may be required if deemed necessary.

	○ Borrower will be qualified on the lower of: - Monthly average of the net income from the tax return and P&L or - Monthly net income from tax return multiplied by 115% ○ Borrower(s) qualifying with 1099s must provide two (2) years 1099s - 4506-C 1099 transcripts (If 1040 transcripts are provided, 1099 transcripts are not required) - Generally limited to single employer and requires employer confirmation of no Borrower job related expenses - If a Borrower is not able to provide confirmation of no job-related expenses, a 10% Expense Factor will be applied - In scenarios where the Borrower receives multiple 1099's, the Borrower must be in an industry where this is a common occurrence (entertainment, medical contractor, etc.) - Most recent check stub (or three (3) months bank statements for 1099) including year-to-date earnings (YTD must cover minimum of thirty (30) days) ○ 1040 tax transcripts/1099 transcripts - Business tax transcripts are not required if net business income is validated on the Borrower's 1040s - In the case where taxes have been filed and the tax transcripts and/or 1099 transcripts are not available from the IRS, the IRS response to the request must reflect "No Record Found" and be present in the loan file - Must document that taxes have been filed via evidence of e-filing, tax refund, or proof of payment - Evidence of any IRS filing extensions must also be present in the loan file ○ All Borrowers must also provide evidence that business has been in existence for at least two (2) years via CPA / Tax preparer letter, confirmation from regulatory or state agency, or applicable licensing bureau ○ Verification of business existence and that the business is fully operational / active required within ten (10) calendar days of closing ○ Ownership percentage must be documented via CPA letter, Operating Agreement, or equivalent ○ Self-employed paying themselves W-2 or K-1 - The ordinary income from the borrower's business multiplied by the borrower's ownership % should be used to qualify along with any W-2 wages that they pay themselves. Double counting is not allowed. ○ Declining income – Self-employed - Declining income of the last two (2) years may be utilized for qualifying with signed letter of explanation from the Borrower. Lower of the two (2) years would then be used to qualify unless the income has stabilized over the most recent six (6) months
1 Year Full Income Verification	● Wage Earner ○ 1 Year W2 or tax return ○ Most recent paystub including year-to-date earnings (YTD must cover minimum of thirty (30) days) ○ IRS 1040s are recommended when using other sources of income to qualify i.e., interest dividends, capital gains, note receivable, trust income etc. ○ 4506-C W2 transcripts In the case where taxes have been filed and the wage transcripts are not available from the IRS, the IRS response to the request must reflect "No Record Found" and be present in the loan file ▪ Must document that taxes have been filed via evidence of e-filing, tax refund, or proof of payment ▪ Evidence of any IRS filing extensions must also be present in the loan file ○ Verbal Verification of Employment (VVOE)

- Must be completed within ten (10) calendar days of the closing date
- VVOE should include name of contact at place of employment, phone number and title along with company name, address and Borrower's job description and title
- A Borrower who is no longer employed at the same employer listed on the initial 1003 will not be eligible

- **Self-Employed Borrower**

- A Borrower is considered self-employed with 25% or more ownership interest in a business. The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S-corporation. Borrowers may qualify with either tax returns or 1099 income subject to the following conditions
- Borrower's qualifying with tax returns
 - One year personal and business tax (including all schedules and K-1's) plus YTD P&L from any businesses being used for qualification where the Borrower has 25% or more ownership interest
 - Not permitted as qualifying income – interest, dividends, capital gains, etc.
 - If the P&L covers more than nine (9) months, three (3) month bank statements are required to validate continued positive cash flow of the Borrower's business. Additional bank statements may be required if deemed necessary
- Borrower will be qualified on the lower of:
 - Monthly average of the net income from the tax return and P&L or
 - Monthly net income from tax return multiplied by 115%
- Borrower(s) qualifying with 1099s must provide one (1) year 1099s
 - 4506-C 1099 transcripts (If 1040 transcripts are provided, 1099 transcripts are not required)
 - Generally limited to single employer and requires employer confirmation of no Borrower job related expense
 - If a Borrower is not able to provide confirmation of no job-related expenses, a 10% Expense Factor will be applied
 - In scenarios where the Borrower receives multiple 1099's, the Borrower must be in an industry where this is a common occurrence (entertainment, medical contractor, etc.)
 - Most recent check stub (or three (3) months bank statements for 1099) including year-to-date earnings (YTD must cover minimum of thirty (30) days)
- All Borrowers must also provide evidence that business has been in existence for at two (2) least years via CPA / Tax preparer letter, confirmation from regulatory or state agency, or applicable licensing bureau
- Verification of business existence and that the business is fully operational / active required within ten (10) calendar days of closing
- Self-employed Borrower income in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year if the Borrower has at least two (2) years of documented previous experience in the same profession, or evidence of formal education in a related field
- IRS form 1040 personal and business 4506-C tax transcripts required for the tax return year used for qualifying
- 1040 tax transcripts/1099 transcripts
 - Business tax transcripts are not required if net business income is validated on the Borrower's 1040s
 - In the case where taxes have been filed and the tax transcripts and/or 1099 transcripts are not available from the IRS, the IRS

	response to the request must reflect “No Record Found” and be present in the loan file ▪ Must document, that taxes have been filed via evidence of e-filing, tax refund, or proof of payment ▪ Evidence of any IRS filing extensions must also be present in the loan file
12 Month Profit & Loss (P&L)	Eligibility • Self-employed Borrower(s) only. Self-employed Borrower(s) who file their own tax returns are not eligible. • Minimum of two (2) years self-employment in the current profession • Validation of a minimum of two (2) years existence of the business from one of the following: Business License, Letter from Tax Preparer, Secretary of State Filing or equivalent • Self-Employed defined as Borrower owning >=50% ownership of respective business • Ownership percentage must be documented via Certified Public Account (“CPA”) / IRS Enrolled Agent (“EA”) / California Tax Education Council (“CTEC”) letter, Operating Agreement or equivalent • The CPA / EA / CTEC preparing the P&L must have filed the Borrower’s most recent business tax returns • PTINs are not acceptable to sign/prepare P&L statements. • Living rent free borrowers are not allowed. Documentation Requirements • Most recent 12-month Profit & Loss statement (P&L). P&L end date must be less than sixty (60) days old at closing • All Profit & Loss statements must be completed by an independent CPA / EA / CTEC • The CPA / EA / CTEC prepared P&L must be signed by both the Borrower and CPA / EA / CTEC (No PTIN) • CPA / EA / CTEC must provide attestation that they prepared Borrower’s tax returns and that that are not related to the Borrower or associated with Borrower or Borrower’s business • The CPA / EA / CTEC must attest that they have performed either the following functions: • Audited the business financial statements • Reviewed working papers provided by the Borrower • Credit file must contain documentation that the CPA / CTEC license is verified and active. A screen shot of the IRS web site for an IRS Enrolled Agent (EA) is acceptable • Borrower narrative on nature of business required • An internet search of the business is required with documentation to be included in the credit file to support existence of the business • Employment verification documentation must be consistent with information on the loan application and Borrower’s credit report • Verification of business existence and that the business is fully operational / active required within ten (10) calendar days of closing • FTHBs who live rent free – P&L doc type and gift funds are not allowed. Qualifying Income • Qualifying income is the lower of the 12 Month Profit & Loss statement (P&L) or monthly income disclosed on the initial signed 1003
WVOE	Eligibility • Wage earners only • Two (2) years history of employment in the same industry and 1-year continuous employment at current job

	• Home-based employments are not eligible for qualification under the WVOE program. • Living rent free borrowers are not allowed. Documentation Requirements • A Written Verification of Employment (FNMA Form 1005) can be utilized when the only source of earnings is wages / salary • FNMA Form 1005 must be fully completed by Human Resources, Payroll Department, or an Officer of the Company. The form must be sent and received directly from the employer • Verification of delivery and receipt of the FNMA Form 1005 must be in the file • Verification of delivery and receipt of the FNMA Form 1005 must comprise the following form of documentation: Physical mail, Fed-Ex, facsimile, or email communication. Physical mail, Fed-Ex, and facsimile must come directly from the employer's address. An email communication must properly identify the Company representative • Borrower(s) employed by a family member or related individuals are not eligible for qualification under the WVOE program • FNMA Form 1005 must have a twenty-four (24) month history of wage earnings / salary. When Form 1005 is provided as specified below, 2-month personal bank statements supporting WVOE employment wages must be provided. 2 months personal bank statements are not required if the following WVOE forms are provided: ○ Equifax (The Work Number) ○ Finicity (TXVerify) ○ Any other acceptable online income data vendor • FNMA Form 1005 must contain the following: ○ Dates of employment ○ Position ○ Prospect of continued employment ○ Base pay amount and frequency ○ Gross Earnings: year to date plus last two (2) year's earnings, or at least one (1) year earnings if current job is less than two (2) years ○ Additional salary information ○ Bonus ○ Overtime ○ Tips ○ Commission Income ○ Paystubs, Tax Returns, 4506-C, or W-2's not required • A Verbal Verification of Employment (VVOE) must be performed within ten (10) calendar days prior to the funding date • A Borrower who is no longer employed at the same employer listed on the initial 1003 will not be eligible • VVOE should include name of contact at place of employment, phone number and title along with company name, address and Borrower's job description and title. Verbal verification of employment for previous jobs within last two (2) years • Employment verification documentation must be consistent with information on Borrower's credit report • For credit score below 700, the maximum allowable LTV is 5% lower than the LTV shown in the matrix. • FTHBs who live rent free – WVOE doc type and gift funds are not allowed. Qualifying Income • Qualifying income is the lower of the income disclosed on the FNMA Form 1005 or monthly income disclosed on the initial signed 1003
Bank Statements (Personal & Business)	• Bank Statement loans submitted with tax returns or tax transcripts must follow Full Documentation guidelines

- Any loan file using qualifying income from Bank Statements with evidence of tax returns or tax transcripts in the origination file will be ineligible
- Borrowers paid 1099 from a single company are not eligible for Bank Statement qualification and must qualify through Full Documentation 1099 guidelines
- Borrowers who are using more than three (3) businesses to qualify must use Personal Bank Statement option

Documentation Requirements

- Twelve (12) or twenty-four (24) months consecutive, bank statements required
- Bank statements must be most recent available at time of application and must be consecutive
- Any loan submitted with less than twelve (12) months of consecutive bank statements will not be eligible
 - Business narrative must include details relating to the size / score and operating profile of the business, including the following:
 - Description of Business / Business Profile
 - Location and Associated Rent
 - Number of Employees / Contractors
 - Estimated Cost of Goods Sold if any
 - Materials / Trucks / Equipment
 - Commercial or Retail Client Base
- An internet search of the business is required with documentation to be included in the credit file to support the Business Narrative. Underwriter certification (or notation on the 1008) if there are not returns when attempting an internet search
- Verification of business existence and that the business is fully operational / active required within ten (10) calendar days of closing
- Multiple bank accounts may be used
- Co-mingling:
 - Co-mingling of personal and business accounts is not permitted in personal bank accounts. Evidence of comingling will require the loan to be submitted / qualified as a business bank statement loan
 - Two (2) months of business bank statements must be provided to validate Borrower utilizes separate banking accounts

1. PERSONAL BANK STATEMENTS

Documentation Analysis

- Any deposits into a personal account deemed to derive from a source other than the business (rents, SSI, joint account holder wage income, IRS refunds) must be excluded from the analysis
- 100% deposits may be used.
- Unusually large deposits exceeding 50% of monthly income (as defined by Fannie Mae) into bank accounts must be explained via LOE and must be consistent with the business profile. If LOE is sufficient, no sourcing required
- Two (2) months of business bank statements are required. These statements should evidence activity to support business operations and reflect transfers to the personal account
 - A borrower who only utilizes a personal account for business activity and does not have an associated business account is eligible to qualify through Business Bank Statements
 - Co-mingling of personal and business receipts is not permitted
- If bank statements provided reflect payments being made on obligations not listed on the credit report, a thorough analysis must be performed and LOE provided from the Borrower
- Declining Income may require a LOE

Business Requirement

- Validation of a minimum of two (2) years existence of the business from one of the following: Business License, Letter from Tax Preparer, Secretary of State Filing or equivalent
- Ownership percentage must not be less than 25% and documented via CPA letter, Operating Agreement, or equivalent
- Borrowers who own more than three (3) businesses must use personal bank statements option

Qualifying Income

- For personal bank statement documentation, it is the lower of the following:
 - Personal bank statement average deposits (total eligible deposits / 12 or 24 months)
 - If a Borrower has declining income and is qualifying with twenty-four (24) months of bank statements, the last twelve (12) months of income will be utilized to qualify
 - Monthly income disclosed on the initial signed 1003

2. BUSINESS BANK STATEMENTS

Documentation Analysis

- Transfers from other bank accounts into the business bank accounts will require conclusive evidence that the source of transfer is business related income
- Large deposits exceeding 50% of monthly income (as defined by Fannie Mae) into bank accounts must be explained via LOE and must be consistent with the business profile. If LOE is sufficient, no sourcing required
- Declining Income may require a LOE
- NSF's may require a Borrower LOE documenting, they are not due to financial mishandling or insufficient income. A maximum of 3 NSF occurrences within a twelve-month period are allowed. If there are zero occurrences in the most recent three-month period, up to 6 occurrences in the most recent twelve-month period are acceptable. NSF's should be covered with deposits shortly after they are incurred.

Business Requirements

- Validation of a minimum of two (2) years existence of the business from one of the following: Business License, Letter from Tax Preparer, Secretary of State Filing or equivalent
- Ownership percentage must be documented via CPA letter, Operating Agreement, or equivalent
- Minimum $\geq 50\%$ business ownership required
- Borrowers utilizing business bank statements that own $\geq 50\%$ but $< 100\%$ of a business will be qualified at the net income multiplied by their ownership percentage

Income Qualification (Three Options)

OPTION 1 – Standard Expense Ratio: 50%

- Percentage of gross deposits (twelve (12) or twenty-four (24 months)) using 50% expense ratio factor. If the borrower's business is a product business (Sells Goods) and has more than 5 employees, the expense ratio factor must be 85%.
- Qualifying income will be the lower of the Expense Ratio formula or monthly income disclosed on the initial signed 1003
- Expense ratio should be reasonable for the profession
- Qualifying income should be multiplied by the Borrowers documented business ownership

- If a Borrower has declining income and is qualifying with twenty-four (24) months of business bank statements, the last twelve (12) months of income will be utilized to qualify
- Example: Borrower with \$25,000 monthly average deposits multiplied by a 50% expense factor = \$12.5k in qualifying income

OPTION 2 - 3rd Party Profit & Loss Statement

- Qualifying income is the lower of the Profit & Loss ("P&L") net income from the validated third-party prepared P&L or monthly income disclosed on the initial signed 1003
- Businesses qualifying with a P&L statement showing less than a 15% expense ratio will be limited to a 15% ratio. Expense ratio should be reasonable for the profession
- Borrower prepared P&L will not be permitted under any circumstances
- Business Bank Statements are used to validate third-party prepared P&L. Gross revenue listed on P&L must be within +/-10% of the total qualified deposits
- If a Borrower has declining income and is qualifying with twenty-four (24) months of business bank statements, the last twelve (12) months of income will be utilized to qualify
- The following documentation is required:
 - Twelve (12) or twenty-four (24) months complete business bank statements from the same account (transaction history print outs are not acceptable)
 - Business bank accounts, personal bank accounts addressed to a DBA or personal accounts with evidence of business expenses can be used for qualification
 - P&L statement must be prepared by a Tax Professional
 - Tax Professional defined as a Certified Public Accountant ("CPA"), Tax Attorney, Enrolled Agent ("EA"), California Tax Educational Council member ("CTEC"). PTIN is not allowed.
 - P&L statement must cover the same months as the bank statements submitted.
 - P&L must be signed by the Borrower and Tax Professional.
 - Tax Professional must attest that they have audited the business financial statements or reviewed working papers provided by the Borrower
 - Tax Professional must attest that they are not related to the Borrower or associated with the Borrower's business
 - Tax Professional must have filed the Borrower's most recent two (2) years business tax returns
 - The annual deposits on the bank statements must be at least 75% of the gross receipts per the P&L.

Option 3 – 3rd party Expense Ratio

- Qualifying income is the lower of the 3rd Party Prepared Expense Ratio net income or monthly income disclosed on the initial 1003
- To determine net income, multiple eligible business deposits by the following: $(100\% \text{ minus the Expense Ratio}) / 12 \text{ or } 24 \text{ months}$
- 3rd Party Prepared Expense Ratio floored at 15%
- If a Borrower has declining income and is qualifying with twenty-four (24) months of business bank statements, the last twelve (12) months of income will be utilized to qualify
- The Expense Statement must be prepared and signed by a third-party Tax Professional specifying business expense as a percentage of the gross annual sales / revenue. PTIN is not allowed.
- Self-employed Borrowers who have filed their own business tax returns are ineligible
- The following documentation is required:

	○ Twelve (12) or twenty-four (24) months complete business bank statements from the same account (transaction history print outs are not acceptable) ○ Business bank accounts, personal bank accounts addressed to a DBA or personal accounts with evidence of business expenses can be used for qualification ○ Tax Professional must attest that they have audited the business financial statements or reviewed working papers provided by the Borrower ○ Tax Professional must certify that the Expense Statement represents an accurate summary of the applicable cash expenses of the business ○ Tax Professional must attest that they are not related to the Borrower or associated with the Borrower's business ○ Tax Professional must have filed the Borrower's most recent two (2) years business tax returns ○ Tax Professional license must be verified and signed
Asset Depletion	○ Our asset-based program is designed to meet the Ability to Repay ("ATR") requirements. This is accomplished by requiring a debt to income ("DTI") in our Asset Depletion program. The unrestricted liquid assets can be comprised of stocks / bonds / mutual funds, vested amount of retirement accounts and bank accounts ○ For Asset Depletion, the utilization of financial assets will be considered as Borrower income to qualify for their monthly payments ○ A Borrower using Asset Depletion cannot use other sources of employment income ○ Non employment sources of income will be considered as an exception basis Program Requirements: ○ Max 80% LTV/CLTV, Min 700 FICO, No Cash-out, OO only ○ Reserves are not required for the Asset Depletion programs ○ Asset Depletion Requirements (DTI): ○ Borrowers must have a minimum of the lesser of \$1mm in Qualifying Assets OR must have Qualifying Assets >= to 125% of the original subject loan amount ○ Not permitted: ○ Non-Owner Occupied or Second Homes (See program Matrix for Max LTV and Program Eligibility) ○ Cash-Out ○ Gift funds ○ Business Assets ○ Trust Assets ○ Foreign Assets ○ Non-Occupant Co-Borrower ○ Non-vested funds ○ Non-financial assets unless liquidated ○ Non-liquid assets (automobiles, artwork, business net worth, etc.) ○ 529 accounts ○ Accounts pledged as collateral on another loan ○ Custodial accounts ○ Life insurance – Face value is not allowed ○ Cash value of a vested life insurance policy is allowed at 100% ○ When used for reserves the cash value must be documented but does not need to be liquidated or received by borrower ○ Deferred compensation ○ Privately held stock ○ Stock options ○ Cryptocurrency ○ Annuities of any type are not allowed ○ SBA loans and paycheck protection funds

	Eligibility ○ Borrowers must have a minimum of \$450K post-closing qualifying Assets across both Asset Depletion ○ Assets used for qualifying must be seasoned for one hundred eighty (180) days ○ Net Assets: ○ If the assets or a portion of the assets are being used for down payment or costs to close, those assets should be excluded from the balance before analyzing a portfolio for income qualification ○ Qualifying Assets: ○ Net assets multiplied by the following percentages: ○ 100% checking / savings / money accounts ○ 80% of the remaining value of stocks / bonds / mutual funds ○ 70% for all vested retirement assets ○ Living rent free borrowers are not allowed. Qualifying Income ○ Asset Depletion: Qualifying Assets with utilization draw schedule of seven (7) years (Qualified Assets divided by eighty-four (84)) will be used as qualifying income
Rental Income	• Eligibility ○ Rental Income is permitted for both purchase and refinance transactions for the non-subject properties only ○ 100% ownership is not required. Allowed income will be calculated based on ownership percentage and 100% of PITIA must be used regardless of ownership percentage • Documentation Requirements ○ Rental income reported on Tax returns: Schedule E net income should be used for loans using full/streamline documentation types ○ Rental income not reported on tax returns OR loans qualifying with alternative documentation types: - Lease agreement and two (2) months cancelled checks to show proof of rental payments, or if subject is recently rented, a copy of two of the following will be acceptable (first month's rent, last month's rent, security deposit) ○ Evidence that rent is market rate (free online source is permitted) • Calculation ○ Non-Subject Properties/Alt Doc only - 75% of fully executed Lease agreement with the supporting 2 months evidence of receipt
Short-Term Rental Income	• Not allowed
Departing Residence	• Departing residence positive rental income cannot be used to qualify. Departing residence PITIA / ITIA can be offset by 75% of projected net rental income or if subject is recently rented, a copy of two of the following will be acceptable (first month's rent, last month's rent, security deposit). Departing residence rental that produces a loss must be included in DTI
Supplemental Income Sources - For Alt Doc income (Bank statements program only) using the combined income	Joint Accounts – A joint personal account with a non-borrowing spouse or domestic partner can be used for qualifying as follows: – If not contributing income / deposits, it must be validated by a Borrower affidavit – If contributing income / deposits, source must be clearly identified (direct deposit, SSI, trust income) and amounts must be subtracted from the analysis – Relationship letter must be present in file Component Sources of Income – A Borrower who has a self-employed business and receives income from other sources is eligible for the bank statement program only. Income sources include but are not limited to rental properties, trust &

investment, alimony, etc. These income sources must be separately documented on the 1003 and must be separately supported by bank statement deposits

- Trust Income
 - Income from trusts may be used if constant payments will continue for at least the first three (3) years of the mortgage term as evidenced by trust income documentation. 5 years required if income source is >50% of loans total qualifying income
 - Trust Agreement required confirming amount, distribution frequency, and duration of payments.
 - Most recent two (2) months bank statements showing deposit of funds prior to a loan application date.
- Alimony Income / Child Support
 - Final Divorce decree or legal separation agreement required.
 - Must provide payment evidence of six (6) months via cancelled checks, deposit slips, or bank records.
 - Alimony, child support requires proof of three (3) or five (5) year continuance (5 years if income source is > 50% of loans total qualifying income).
- Royalty income
 - Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income –must document a three (3) year continuance.
 - Must provide payment evidence of twelve (12) months via cancelled checks or bank records / deposits.
- Note Receivable Income
 - Copy of the note confirming amount and length of payment
 - Must provide payment evidence of twelve (12) months via cancelled checks, deposit slips, or bank records
 - Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage note
- Retirement Income (Pension, Social Security)
 - Copy of award letter or letters from the organizations providing the income and
 - Most recent two (2) months bank statements showing deposit of funds.
- IRA / Discretionary Retirement Account Distributions
 - IRA distributions cannot be set up post application date unless the Borrower is required to start withdrawing based on the retirement age. In such cases, 125% of the required minimum amount can be used to qualify
 - Distributions must have been received for prior six (6) months to application to be considered as eligible income. Distributions that have been received for six (6) months or more can be adjusted with a letter from the plan administrator validating the increase. Allowable increases of distribution amount are limited to 125% of previously received distributions. Continuance for 5 years at the proposed monthly amount is required if distributions represent > 50% of the loans total qualifying income (please note this overlay to Fannie Mae).
 - One of the following types of income documentation is required:
 - Copy of award letter or letters from the organizations providing the income
 - Most recent personal income tax return with all schedules
 - Most recent W2 or 1099
 - Most recent two (2) months bank statements showing deposit of funds
- Self Employed / Wage Earner Combination for Joint Borrowers
 - Joint Borrowers with one (1) wage earner and one (1) self-employed business owner can verify income separately, with the self-employed Borrower utilizing bank statements or 12 Month Profit & Loss “(P&L)” and the wage earner providing pay stubs / W-2s or WVOE
 - The wage earner 4506-C should include W-2 transcripts only

	- Combination scenario must be qualified and priced to the income verification with the largest percentage of income.	
Employment Gap	• Borrower should explain any employment gaps exceeding thirty (30) days in the last twelve (12) months and sixty (60) days in the last thirteen to twenty-four (13-24) months	
Recently transitioned W-2 to 1099	• Borrowers recently transitioned from W2 to 1099 and contracted by the same employer in the same position do not require two (2) years 1099s if the proper documentation is provided that the borrower will not be responsible for additional expenses, i.e., contract • Borrowers who remained in the same industry, but transitioned from W2 to 1099 with a different company must be in their current position for at least one (1) year	
Restricted Stock (RSUs)	Restricted stock refers to stock of a company that is not fully transferable until certain conditions have been met. Upon satisfaction of these conditions, the stock becomes transferable to the person holding the grant. Restricted stock should not be confused with stock options. Restricted stock must be vested as well as received on a regular, recurring basis • Documentation Requirements ○ Issuance agreement or equivalent (part of the benefits package), and ○ Schedule of distribution of units (shares), and ○ Vesting schedule, and ○ Evidence that stock is publicly traded, and ○ Evidence of payout of the restricted stock (e.g. YTD paystub and 2 years W-2's) • Income Calculation ○ To determine the restricted stock price, use the lower of: ▪ Current stock price, or ▪ The two (2) year stock price average ○ Qualifying income will be calculated using an average of the restricted stock income for the past two (2) years and year-to-date stock earnings. The average stock price should be applied to the number of stock units vested each year. ○ Future vesting must support the qualifying income.	
Averaging of Bonus / Commission, 2 years	• A two (2) year average is required, an exception can be considered with one-year minimum history of receipt is required and must be likely to continue. Employer to document likelihood of continuance.	
Secondary Employment	• Second job income considered stable if received for two (2) years and likely to continue. Must be working both jobs simultaneously, for consideration.	
Foreign Sources of Income	• Foreign income is income earned by a Borrower employed by a foreign government / company and not paid in US dollars. Acceptable utilization if the following criteria satisfied: ○ Two (2) years US Tax returns reflect the foreign income ○ Income is translated to US dollars ○ Income documentation, stability and continuance requirements are met ○ Income from countries under OFAC sanctions not permissible	
Grossing up Nontaxable Income	• Non-taxable income to be grossed up 115% • Supporting documentation is required to validate deposits.	
Two-year Business Validation – Name change / Re-organization	• Considered continuous if business name changes within last two (2) years or restructure (i.e., from sole proprietor to LLC, S-Corp, etc.).	
4506-C	Not required except full income/W-2/1099 doc program.	
Residual Income	• Residual income equals Gross Qualifying Income Less Monthly Debt (as included in the debt-to-income ratio) • If the loan is an HPML, or if the DTI exceeds 43%, Borrowers must have a minimum monthly residual income as required below: <table><tr><td>Required Amount</td></tr></table>	Required Amount
Required Amount		

		\$2,500
		Add \$150 for each additional household members

ASSETS		
Documentation	- Full Asset Documentation is required for both funds to close and reserves. For most asset types, this would include all pages of the most recent one-month (1) statement, the most recent quarterly statement, or FNMA approved third party direct pull services - Publicly traded Stocks / Bonds / Mutual Funds – 90% may be used for reserves - Vested Retirement Accounts – 80% may be considered for reserves. - Bitcoin or other forms of cryptocurrency are permitted for both funds to close, and reserves provided the cryptocurrency has been converted or liquidated to cash. Seasoning requirements not applicable given liquidation - Assets being used for dividend and interest income may not be used to meet reserve requirements - Follow FNMA guides if funds require liquidation when used for the down payment or closing costs, and if the funds are being used for reserves - Gift of Equity is not allowed - Builder profits are not allowed - Maximum Interested Party Contributions permitted up to 6% - Rent credits not permitted - LOE is required for large deposits, as defined by Fannie Mae. If questionable, an LOE should be provided; If LOE is sufficient, sourcing may not be required	
Business Assets	- Business assets are an acceptable source of funds for down payment, closing costs, and reserves for self-employed borrowers; ALL of the following must be met: - The borrowers on the loan must have a minimum of 50% ownership of the business and must be owners on the business account - Ownership percentage must be documented via CPA letter, Operating Agreement, or equivalent - All non-borrowing owners of the business must provide a signed and dated letter acknowledging the transaction and confirming the borrower's access to funds in the account - The balance of the business assets must be multiplied by the ownership percentage to determine the owner's portion of business assets allowed for the transaction - A signed letter from a CPA or Underwriter Cash Flow Analysis must also be obtained verifying that the withdrawal of funds for the transaction will not have a negative impact on the business	
Gift Funds	- Gifts from family members, as defined by FNMA, are allowed - Gift funds cannot be counted towards reserves - General Requirements: - Purchase transactions only - Gift funds not permitted: - Second Homes property > 80% LTV / CLTV - Borrowers utilizing Asset Depletion programs - P&L, WVOE doc types for a FTHBs living rent-free. - Down Payment Requirements: - Gift funds are acceptable as 100% down payment for loans < 75% LTV / CLTV - Gift funds are acceptable for loans ≥ 75% LTV / CLTV however the underlying Borrower(s) must contribute at least 5% of the transaction (lower of Purchase Price or appraised Value) from their own funds - Ex: A \$500,000 purchase price where the LTV / CLTV is going to be 75% or higher would require the borrower to have \$25,000 of their own funds provided ($\\$500,000 \times .05 = \\$25,000$)	

Other Asset Sources	• Life Insurance Cash Value ○ Life insurance policy current cash value or loan against the cash value may be used for down payment, closing costs or reserves • Foreign Assets ○ Foreign assets are acceptable and must be sixty (60) days seasoned with two (2) most recent bank statements. A currency calculation must be provided ○ Assets from countries under OFAC sanctions are not permitted • Non-borrowing Spousal Joint Accounts ○ Allowable with relationship letter. If the loan is a bank statement loan or 12-month P&L loan, non-borrowing joint account holder affidavit is required to ensure no deposits by that non-Borrower is included as income • Restricted Stock ○ Restricted stock is ineligible for to be used for reserves • Sale of Personal Assets ○ Proceeds from the sale of personal assets are an acceptable source of funds for the down payment, closing costs, and reserves provided the individual purchasing the assets is not a party to the property sale transaction or the mortgage financing transaction. Documentation required supporting Borrower ownership of the asset, independent valuation of the asset, ownership transfer of the asset and Borrower's receipt of sale proceeds • Employment assistance ○ Ineligible • 1031 Assets ○ Funds held by a 1031 administrator / agent are not permitted for down payment and closing costs
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LIABILITIES	
Departing Residence	• Departing residence positive rental income cannot be used to qualify. Departing residence PITIA / ITIA can be offset by 75% of projected net rental income or if the subject is recently rented, a copy of two of the following will be acceptable (first month's rent, last month's rent, security deposit). Departing residence rental that produces a loss must be included in DTI • Departing residence is being converted to an investment property and the borrower can provide a signed 12-month lease from the new tenant and evidence of payment for some combination of monies received (1st, last and security)
Property tax estimates for new construction	• Property taxes should be calculated using 1.5% of sales price for qualification (1.25% in California). Use of other property tax rates is allowed provided the rates are documented in the file
Student Loan	• Student loan payments must be included regardless of deferment or repayment in the DTI ratio. If a payment amount is not identified, 1% of the current loan balance may be utilized • Affordability based payments may be used
Solar Leases	• Must conform to FNMA guidelines • PACE loans (or any similar loans with payments that are included in property taxes or take lien priority) are not eligible
Payoff of Debt to Qualify	• Installment and revolving debt paid at closing may be excluded from the debt-to-income ratio with ONE of the following: a Credit supplement, Verification from the creditor liability as paid in full OR Evidence of payoff on Closing Disclosure
Debts paid by others / Contingent liabilities	• Contingent liabilities can be excluded from DTI if the Borrower provides evidence that their business or another individual / entity has made payments for twelve (12) months (0x30). Any liability related to separation or divorce

	can be omitted if ordered by family court. Documentation from the court is required.
Obligations paid by Business	Excludable if can be tied to business related activities (i.e., – vehicle) and twelve (12) months (0x30) proof that business pays. Expense must be evident on business financials and the borrowing entity is an individual.

PROPERTY	
Appraisal	- All appraisals must comply with and conform to USPAP and the Appraisal Independence Requirements, and any requirement for HPMLs, if applicable - The appraiser must not have a direct or indirect interest, financial or otherwise, in the property or in the transaction - An appraisal prepared by an individual who was selected or engaged by a Borrower, property seller, real estate agent or other interested party is not acceptable - Assigned/transferred appraisals are acceptable, unless ordered by Borrower - Two appraisals are required to be delivered for either of the following scenarios: loan amounts > \$2,000,000 or HPML flip transactions as defined by the CFPB. Interior photos are required - Original appraisals are valid for one hundred twenty (120) days from the note date. Any appraisal dated greater than one hundred twenty (120) days will require a recertification of value completed by the original licensed appraiser and is good for an additional one hundred twenty (120) days. If the loan does not close within the initial recertification, then another update may be obtained but the original appraisal must be dated within 12 months of the note - Legal non-conforming zoned properties must indicate that the subject property can be 100% rebuilt if it is severely damaged or destroyed - Appraisals with condition or quality ratings of C5 or C6 will not be eligible - For 2–4 unit properties, a FNMA 1025 Small Residential Income Property Appraisal Report is required - Transferred appraisal report - Follow MCFI policy.
Third Party Appraisal Review	- The Appraised Value (or lowest if two are required) is the only value used to determine the property value for the subject loan. Any secondary valuation products are provided only to support the value of the origination appraisal and are not meant to be used as a substitute value for the property - Loans should be submitted to MCFI's fulfillment vendor with a completed third-party review that validates the origination appraisal. Either a Clear Capital - Collateral Desktop Analysis "CDA" or a Stewart Valuation (fka Protek Valuation) - Appraisal Risk Review "ARR" are acceptable. - The Vendor Appraisal Review final opinion of value must be within -10% of the origination appraisal(s) - For LTVs > 85%, the review value must be within -5% - If the review value fails the above-mentioned variances, the seller must provide an additional valuation report to support the origination appraisal. The required report types, in order, are as follows: Field Review and then a 2055 Exterior Appraisal-must meet the required variance levels stated above to proceed - Review values greater than the origination appraisal have no tolerance requirements - MCFI may utilize Collateral Underwriter (CU) and/or Loan Collateral Advisor (LCA) as a secondary valuation if the score is <=2.5. The file must include a copy of the Submission Summary Report. If both are run, they must be done at the same time.; only one needs to have a passing score - Desk review and other review products are not required for loans with two (2) appraisals
Condominium Projects	MCFI accepts both Warrantable and Non-Warrantable condominium projects

- Reviews of Warrantable Condo Projects must follow the Fannie Mae (FNMA) Selling Guide, unless additional criteria are specified, and Non-Warrantable reviews must follow Full Review and Non-Warrantable Condo criteria
- HOA Condominium Questionnaire is required for all units in a condo project. A new review is required for each loan transaction
 - MCFI Condominium Project Questionnaire - Full Review, or similar
 - MCFI Condominium Project Questionnaire- Limited Review, or similar
- MCFI Condominium Project Certification or similar certification must be provided with the loan package
- Master insurance certificate including HO6, along with all required coverages
- Current Budget (Full Review)
- Recorded declarations/CC&R's and by-laws (Full Review)
- Additional documentation may be required by underwriting to complete project review

Eligible Projects and Project Review Types

- Full Project Review
 - Attached Condo Unit in a New or Newly Converted Project
 - Projects that are deemed ineligible for Limited Review must complete a Full Project Review
 - Non-Warrantable Condos Project with NW Condo restrictions noted in Section below
- Limited Project Review
 - To be eligible for a Limited Review, the unit securing the mortgage must be an attached unit in an established condo project
 - Attached units in established projects located in Florida may be subject to more restrictive LTV ratio requirements – See the restrictions in Florida condo section
 - The project and unit are to meet the following eligibility requirements:
 - The project meets the general requirements for condos or PUDs
 - The project does not include manufactured homes
 - No more than 15% of the units have special assessments that are 60 or more days past due
 - If the LTV, CLTV, or HCLTV ratios exceed the limits, or if the seller becomes aware of any factors making the project ineligible under a Limited Review, they must use another review method. The project must meet all eligibility requirements for the selected review type
 - The Project does not exhibit any characteristics that would classify it as an ineligible condominium project under Fannie Mae (FNMA) guidelines, including but not limited to:
 - Condomotels, including projects with registration services and/or projects that operate as motel/hotel
 - Projects Subject to Split Ownership Arrangements
 - Projects that Contain Multi-Dwelling Unit Condos or Co-ops
 - Projects with Property that is not Real Estate
 - Projects that Operate as a Continuing Care Community or Facility
 - Non-Incidental Business Arrangements
 - Commercial Space and Mixed-Use Allocation
 - Recreational Leases and Mandatory Memberships
 - Live-Work Projects
 - Litigation or Pre-litigation Activity
 - Single-Entity Ownership
 - Projects in Need of Critical Repairs
 - Projects Terminating or Involved in Insolvency Proceedings
 - Fannie Mae Project Eligibility Review Service (PERS)

	▪ New and Existing Condominium Project Approvals are acceptable ▪ Evidence of the PERS final project approval must be current through the Note date and included in the Mortgage loan file ○ Condominium Project Manager (CPM) Approval ▪ The project must have a valid, unexpired CPM Seller Certification as of the date of the Note and a copy must be in the Mortgage Loan file. ▪ In addition, there must not be any change of circumstances since the project information was submitted to CPM that would result in the project not satisfying Fannie Mae's or Onslow Bay's eligibility criteria ▪ Note: Loans secured by units in projects with a status of "Unavailable" in Condo Project Manager (CPM) will be ineligible • Project Review Waiver ○ Project review is waived for the following project types but must follow Fannie Mae Guides for acceptability ▪ Detached Unit in a New or Established Condo Project ▪ Unit located in a New or Established Two-to-Four Unit (2-4) Condo project – Borrower/Entity Owners may not own more than two units in any Two-to-Four Unit (2-4) project ▪ Unit in a PUD project, except for PUD projects consisting of single-width and/or multi-width manufactured homes subject to a community land trust, deed restriction, ground lease, or shared equity arrangement and high LTV refinance loan • Expiration Dates for Project Reviews <table border="1"> <tr> <th>Project Review Process Employed</th><th>Expiration of Project Review</th></tr> <tr> <td>Limited Review Full Review for Established Projects</td><td>Must have been completed within one year prior to the note date - A new questionnaire is required for each loan transaction</td></tr> <tr> <td>Full Review for New Projects</td><td>Must have been completed within 180 days prior to the note date - A new questionnaire is required for each loan transaction</td></tr> <tr> <td>Approved by Fannie Mae as reflected in CPM</td><td>Must be valid (unexpired) as of the note date - A new questionnaire is required for each loan transaction</td></tr> </table>	Project Review Process Employed	Expiration of Project Review	Limited Review Full Review for Established Projects	Must have been completed within one year prior to the note date - A new questionnaire is required for each loan transaction	Full Review for New Projects	Must have been completed within 180 days prior to the note date - A new questionnaire is required for each loan transaction	Approved by Fannie Mae as reflected in CPM	Must be valid (unexpired) as of the note date - A new questionnaire is required for each loan transaction
Project Review Process Employed	Expiration of Project Review								
Limited Review Full Review for Established Projects	Must have been completed within one year prior to the note date - A new questionnaire is required for each loan transaction								
Full Review for New Projects	Must have been completed within 180 days prior to the note date - A new questionnaire is required for each loan transaction								
Approved by Fannie Mae as reflected in CPM	Must be valid (unexpired) as of the note date - A new questionnaire is required for each loan transaction								
Non-warrantable Condo Criteria	• Max. LTV/CLTV - 80%. • Full review is required. • A certification, similar to the MCFI Condominium Project Certification must be provided with the loan package along with the MCFI Condominium Questionnaire or similar as well as any other documents used to determine eligibility. • Submissions must include ○ MCFI Condominium Project Cert. & Condominium Project Questionnaire ○ Project current annual budget ○ Current balance sheet (dated within 60 days of review request) ○ Documented HO6 insurance coverage ○ New condos must meet FNMA Presale Ratio Requirements • Restrictions to Non-Warrantable Condos include: ○ Risk stacking of non-warrantable features are not permitted ○ A single owner / entity may not own more than 30% of the units ○ Commercial space must be typical to the market, have no negative impact and comprise 49% or less of project space ○ Investor concentration up to 60% ○ No more than 20% of the total units in the project may be 60 days or more past due on their condo / HOA dues. This figure includes delinquencies for special assessments								

	○ Borrower must carry HO-6 coverage covering the replacement of items inside the unit. Master policy thru association may also have walls in coverage, and if so, that will satisfy the requirement ○ Properties with significant deferred maintenance or critical repairs must adhere to FNMA criteria ○ If the project is located in a flood zone requiring insurance (per FNMA), both the subject property and complex must have adequate flood insurance ○ MCFI must confirm that the project documents do not give a unit owner or any other party priority over the rights of the first mortgagee, such as right of first refusal. ○ Mandatory dues are not allowed ○ All common areas must be 100% complete ○ HOA should be in control. Projects under builder, developer control may be considered on a case-by-case basis and will require an exception approval, subject to an additional LLPA. ○ HOA reserves must demonstrate a minimum of 10%. No exceptions will be considered on this ○ Projects involved in litigation are acceptable as long as the pending lawsuit(s) are not - structural in nature - do not affect marketability of the units - Potential for damages do not exceed 25% of the HOA reserves OR with documentation from the insurance carrier and attorney representing the HOA or insurance carrier that the insurance carrier has agreed to provide the defense and the association's insurance is sufficient to cover the litigation
Eligible Property Types	• One Unit Single Family Residences (Attached, Detached) • Single Family properties with ADU (Accessory Unit Dwelling) follow FNMA requirements and restrictions. • 2-4 Unit Properties (Primary Home only) • PUD • Warrantable condo • Non-warrantable condo. (Max. LTV/CLTV 80%) • Townhouses • Maximum of 20 acres • Rural Properties – Primary (Max 75% LTV/CLTV) 2nd Home (Max 70% LTV/CLTV) No Cash Out. MAX 5 Acres • Restriction in Florida condo projects and associations - Subject to Florida SB-4D requirements will need Structural Integrity Reserve Studies and Milestone Structural Inspections subject to all state requirements. These properties will be considered on a case-by-case basis and will require an exception approval. Florida condo project MAX LTV/CLTV=80%. FNMA approved projects within the last 18 months only. • Detached site condominiums and two-to-four-unit condominium projects do not require a project review and qualify for single-family dwelling LTV/CLTV, provided the following criteria are met: – The priority of common expense assessments applies – The standard insurance requirements apply – The project is not a condo hotel or motel, houseboat project, or a timeshare or segmented ownership project – The project is not in Condo Project Manager (CPM) with a status of “Unavailable” – There are no unaddressed critical repairs outstanding or projects with evacuation orders – Borrower/Entity Ownership may not exceed 50% in any 2-4 unit project
Ineligible Properties	• <=600 square feet for single unit properties

	• Investment properties • Manufactured Homes • Residential units with >= 5 units • Log Homes • Condotels • Condominium projects with registration services or restrictions on owner's ability to occupy. • Cooperatives • Unique Properties (Even if common to the area) • Unpermitted additions • Mixed Use Properties • Builder Model Leaseback • Boarding Houses • Fractional Ownership/Timeshares • Assisted Living/Continuing Care Facilities • Mandatory Country Club Memberships • Zoning Violations • Properties under Construction • Agricultural zoned properties (may be considered on a case-by-case basis) • Hawaii properties located in lava zones 1 and/or 2. • Multiple dwellings on same lot (legal ADU acceptable, limited to one) • Working Farms/Hobby Farms/Property w/Horse or livestock • C5 or C6 Property Condition Grades • Live/Work Condos • Earth Berm Homes • Barndominiums • Geodesic Domes • Houseboats • Homes on Native American Land (Reservations) • Properties used for the cultivation, distribution, manufacture, or sale of Marijuana. • Theme Park Resort Properties
Rural Property	A property that is indicated by the appraisal as rural or containing any of the following characteristics would typically be considered as rural: • Surrounding area zoned agriculture • Distance to schools and amenities greater than 25 miles • Less than 25% of surrounding areas is developed • Comparable properties are more than 5 miles from the subject property • Primary Home (Max 75% LTV/CLTV) 2nd Home (Max 70% LTV/CLTV) No Cash Out. MAX 5 acres

ADDITIONAL GUIDELINE REQUIREMENTS	
Ability to Repay	All Loans must be designated as ATR compliant and must adhere to the standards set forth in the CFPB's Reg Z, Section 1026.43(c)
High Cost	• Federal, State, and Local High-Cost Loans are not permitted. Cured High-Cost loans are also not eligible.
Agency Ineligibility	• All applicable loans are required to have evidence of agency ineligibility • Documented on the Loan Submission Form or may be satisfied through a DU or LP underwriting findings report in file verifying the loan does not qualify for delivery, or as evidenced on the 1008 • Evidence of agency acceptability is sufficient if evidence MCFI pricing and/or terms are more beneficial to the Borrower than the comparable agency product
Escrow Holdbacks	• Escrow holdbacks are not allowed.

Assumability	- Fixed rate loans are not assumable - Adjustable-rate loans may be assumable depending on Note
Hazard Insurance (1-4 Unit Properties)	100% of the replacement cost value of the improvements as of the current property insurance policy effective date, or the unpaid principal balance of the loan, provided it equals no less than 80% of the replacement cost value of the improvements as of the current property insurance policy effective date. - All other coverages/property types follow FNMA policy
Flood Insurance (1-4 Unit properties)	- The minimum amount of flood insurance required for first mortgages must be equal to the lesser of 100% of the replacement cost value of the improvements, - the maximum coverage amounts available from NFIP, or - the unpaid principal balance (UPB) of the loan (or loan amount at the time of origination) - All other coverages/property types follow FNMA policy
Maximum Financed Properties	- The maximum number of financed properties to any one Borrower is limited to twenty (20) residential properties - Maximum MCFI exposure to single Borrower: \$7.5mm in unpaid principal balance or ten (10) residential properties - Borrower(s) will be required to meet the subject property reserve requirement plus two months of reserves for each additional financed property
Power of Attorney	- Specific Power of Attorney (POA) is acceptable for executing closing documents, is specific to the transaction, contains an expiration date, initial 1003 is signed by the Borrower executing the POA - Not permitted on Cash-Out transactions
E-Signatures	E-signatures are permitted with the exception of the following documents: Note, Mortgage, Deed of Trust, Closing Disclosure, Power of Attorney, Riders / Addendums, and any state regulated disclosures. These documents require a wet signature.
Interested Party Contribution (IPC)	- Can only be used for closing costs and prepaid expenses, not down payment or reserves. - Maximum up to 6% - Exceeding IPC after above use is considered as sales concessions, will be deducted from sale price to determine LTV.

MVP X - ALTERNATIVE PROGRAM GUIDELINE REQUIREMENTS – SUBJECT TO LLPA

If the loan with the following criteria does not meet the MVP standard guideline requirements, it may still be eligible if it meets any of the following characteristics. However, it will be subject to an additional LLPA. All items not addressed in this section will default to the MVP standard guidelines.

Housing Payment History	1x30x12 (Max. LTV/CLTV 85% and minimum credit score 680) - If a private party VOR, VOM, only 6 months proof of payments via cancelled checks, bank statements.																									
Credit Events	Housing Event Seasoning Restrictions P&L, Bank Statements, Asset depletion <table><tr><td>BK/FC/SS/DIL/MOD/NOD</td><td>>=48 Mo</td><td>>=36 Mo</td><td>>=24 Mo</td><td>>=12 Mo</td></tr><tr><td>Max LTV/CLTV: Purchase</td><td>Per Matrix</td><td>80%</td><td>NA</td><td>NA</td></tr><tr><td>Max LTV/CLTV: Refinance</td><td>Per Matrix</td><td>75%</td><td>NA</td><td>NA</td></tr><tr><td>Max Loan Amount</td><td>Per Matrix</td><td>\$2,500,000</td><td>NA</td><td>NA</td></tr><tr><td>Min FICO</td><td>Per Matrix</td><td>680</td><td>NA</td><td>NA</td></tr></table>	BK/FC/SS/DIL/MOD/NOD	>=48 Mo	>=36 Mo	>=24 Mo	>=12 Mo	Max LTV/CLTV: Purchase	Per Matrix	80%	NA	NA	Max LTV/CLTV: Refinance	Per Matrix	75%	NA	NA	Max Loan Amount	Per Matrix	\$2,500,000	NA	NA	Min FICO	Per Matrix	680	NA	NA
	BK/FC/SS/DIL/MOD/NOD	>=48 Mo	>=36 Mo	>=24 Mo	>=12 Mo																					
	Max LTV/CLTV: Purchase	Per Matrix	80%	NA	NA																					
	Max LTV/CLTV: Refinance	Per Matrix	75%	NA	NA																					
	Max Loan Amount	Per Matrix	\$2,500,000	NA	NA																					
	Min FICO	Per Matrix	680	NA	NA																					
	Full, 1099, WVOE <table><tr><td>BK/FC/SS/DIL/MOD/NOD</td><td>>=48 Mo</td><td>>=36 Mo</td><td>>=24 Mo</td><td>>=12 Mo</td></tr><tr><td>Max LTV/CLTV: Purchase</td><td>Per Matrix</td><td>80%</td><td>80%</td><td>70%</td></tr><tr><td>Max LTV/CLTV: Refinance</td><td>Per Matrix</td><td>75%</td><td>75%</td><td>NA</td></tr><tr><td>Max Loan Amount</td><td>Per Matrix</td><td>\$2,500,000</td><td>\$1,500,000</td><td>\$1,000,000</td></tr><tr><td>Min FICO</td><td>Per Matrix</td><td>680</td><td>680</td><td>680</td></tr></table>	BK/FC/SS/DIL/MOD/NOD	>=48 Mo	>=36 Mo	>=24 Mo	>=12 Mo	Max LTV/CLTV: Purchase	Per Matrix	80%	80%	70%	Max LTV/CLTV: Refinance	Per Matrix	75%	75%	NA	Max Loan Amount	Per Matrix	\$2,500,000	\$1,500,000	\$1,000,000	Min FICO	Per Matrix	680	680	680
	BK/FC/SS/DIL/MOD/NOD	>=48 Mo	>=36 Mo	>=24 Mo	>=12 Mo																					
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Max Loan Amount	Per Matrix	\$2,500,000	\$1,500,000	\$1,000,000																						
Min FICO	Per Matrix	680	680	680																						
Credit rescoring	Credit rescoring is allowed.																									
Maximum Loan Amount	\$2M																									
Maximum LTV/CLTV	85%																									
I/O Minimum Score	680																									
First Time Homebuyer	- Allowed without the payment shock - I/O not allowed.																									
Non-permanent Resident	See MCFI Visa & EAD Classification & Eligibility for additional information for non-permanent borrower requirement.																									
Tradeline Requirement	If the primary borrower (primary wage earner) has 3 credit scores, the minimum tradeline requirement is waived.																									
Bank Statements Expense Ratio (Personal & Business Bank Statements)	20% Expense Factor can be eligible only if all the following apply to the business. - Max LTV 85% - Borrower is the sole owner and operator of the business (no partners, employees, etc.) - Service business (no costs of goods, no heavy equipment, machinery, etc.) - Does not require office space that would incur rent.																									
NSFs	No limit. Follow the rest of the standard NSF guidelines.																									
WVOE Requirement	- The borrower's employment information does not have to be shown in the credit report. 2-month personal bank statements are not required.																									
Eligible Occupancy Types	- Primary home - Second Home																									
Asset Depletion Qualifying Income	2nd Home – Max 80% LTV/CLTV - Cash-out – Max 60% LTV/CLTV - This can be combined with other sources of income (i.e., rent, pension, social security etc.) self-employment and W2 income. - Qualified assets with utilization draw schedule of 5 years (Qualified Assets divided by 60).																									
Rental Income	**For non-subject properties rental income only** - Full Doc/Tax returns programs: Rental income is calculated from Sch E. - Alt Doc programs: - Lease agreement w/one-month rental income receipt proof 85% is utilized for qualifying income. - Short-term rental income is not allowed.																									

Source of Large Deposit	• Not required					
Gift	• Gifts are allowed for down payment, closing cost, and reserves. • No minimum borrower contribution for down payment and closing cost required for all occupancy types, 100% gift is permitted on all occupancy types.					
Gift of Equity	• Primary home transaction only. • Max. LTV is 75% • For other restrictions, follow the FNMA guideline.					
Restriction for Florida Condo/Non-warrantable Condo	• Florida condo project MAX LTV/CLTV=80%. FNMA approved projects within the last 18 months only. • Non-warrantable Condo – MAX LTV/CLTV=75% • Florida condo/NWC - Refinance (Rate & Term & Cash-out) requires an exception.					
Program Codes	Doc Type	Code	Term	Amort type	Prepay Term	
	Full, Bank Statements, 1099, CPA P&L, WVOE & Asset Depletion	MVPX30	30yr Fixed	Full	-	
		MVPX5/6	5/6 30yr ARM	Full	-	
		MVPX7/6	7/6 30yr ARM	Full	-	
		MVPX40io	40yr Fixed	Interest Only	-	